

Addendum to Contract for Residential Sale and Purchase



1 If initialed by all parties, the terms below will be incorporated into the Contract for Residential Sale and Purchase
2* between _____ ("Seller")
3* and _____ ("Buyer")
4* concerning the Property described as _____
5* _____

6* (____) (____) - (____) (____) **AA. Short Sale Approval:** This Contract is contingent upon **Seller** obtaining
7 "Short Sale Approval" from **Seller's** lender(s) and all other lien holders (collectively "Lender"). Short Sale Approval
8 means Lender (i) approves the terms of this Contract and the settlement statement; (ii) agrees to a reduced payoff
9 and to provide satisfaction(s) and/or releases of the mortgage(s) and any other lien(s) encumbering the
10 Property ("Mortgage(s)"); and (iii) agrees to release **Seller** from any claim(s) for a deficiency under the Mortgage(s)
11 and note(s) secured by the Mortgage(s). **Seller** must deliver a copy of the Short Sale Approval to **Buyer** within 7 days
12* after receipt but no later than _____ days (45 days if left blank) after Effective Date ("Approval Deadline").

13 If Lender makes an offer to **Seller** that does not include items (i) through (iii) above or contains additional terms or
14 obligations affecting **Seller**, **Seller** may, but is not required to, accept the offer. If **Seller** accepts the offer, it will be
15 deemed Short Sale Approval, and **Seller** will deliver a copy to **Buyer** as provided above.

- 16* **1. (Check if applicable) ☐ Seller's** Lender has set the list price and approved this Property for short sale.
- 17 **2. Short Sale Application; Buyer Cooperation:** **Seller** will make application for short sale with Lender within
18* _____ days (10 days if left blank) after Effective Date (Short Sale Application Date), unless **Seller** has already
19 done so; and **Buyer** will cooperate with Lender in all reasonable respects to effectuate the short sale.
- 20 **3. Time Periods:** All time periods set forth in this Contract will begin on the day after **Seller** delivers Short Sale
21 Approval to **Buyer**, except time periods for Approval Deadline, Short Sale Application Date, Contract
22* Termination Date, and the following items, if checked, will begin as set forth in this Contract: ☐ Initial Deposit
23* ☐ any inspection provided for in this Contract that **Buyer** deems necessary ☐ other (specify):
24* _____
25* _____

26 **4. Offers; Back-up Contracts:** If required by Lender, **Seller** may receive additional offers and submit such offers
27* to Lender, even if such offers are not accepted by **Seller**. **(Check one)** **Seller** ☐ may ☐ may not enter into back-
28 up contracts. (If neither box is checked, **Seller** may enter into back-up contracts.)

29* **5. Closing Date; Termination:** **Seller** and **Buyer** agree to extend the Closing Date in this Contract _____ days
30 (15 days if left blank) if Lender requires additional time to complete the short sale. If **Seller** does not deliver a
31 copy of the Short Sale Approval by Approval Deadline, either party may thereafter terminate this Contract by
32 delivering written notice to the other; and **Buyer's** deposit(s) will be refunded. If (i) **Seller** has not delivered a
33* copy of the Short Sale Approval to **Buyer** within _____ days (90 days if left blank) after Effective Date
34 (Contract Termination Date); or (ii) Lender fails to complete the short sale; or (iii) the Property is sold at a
35 foreclosure sale before Closing, this Contract will terminate; and **Buyer's** deposit(s) will be refunded.

36 **6. Buyer Acknowledgement:** **Buyer** acknowledges that (i) Lender is not a party to this Contract and is
37 not obligated to approve this Contract; (ii) **Buyer** is responsible for understanding Lender's policies and
38 procedures; (iii) Lender may impose restrictions on **Buyer's** ability to resell the Property; and (iv) **Seller** and
39 Broker are not liable for delays caused by Lender, failure of Lender to approve or complete the short sale, or any
40 costs (such as payments for loan applications, inspections, and appraisals) associated with this short sale.

41 **7. Seller Acknowledgment:** **Seller** acknowledges that (i) a short sale may be a taxable event to **Seller**, and
42 **Seller's** credit may be negatively impacted; (ii) **Seller** has been advised to consult with appropriate legal and tax
43 professionals and to rely on such professionals and not Broker for legal and tax advice; and (iii) **Seller**
44 releases Broker and its associates from all liability regarding the consequences of a short sale.